Quarterly Operations Report — Facilities Department

Document ID: EN-REP-01 **Department:** Facilities Management **Reporting Period:** Q2 2026 (April–June) **Prepared By:** Facilities Operations Team **Distribution:** Internal — Department Heads and Executive Committee

1. Executive Summary

This report summarises facilities operations across the Company's four distribution centres and two corporate offices during the second quarter of 2026. Overall facility uptime remained above the 98% target across all sites. Energy consumption decreased by 6.4% compared with Q1 2026, attributed to the completion of the LED lighting retrofit at Distribution Centre 2. Two maintenance incidents required escalation to the Health, Safety and Environment team, both of which are detailed in Section 4.

2. Facility Uptime

Site	Uptime (%)	Target (%)	Status
Distribution Centre 1	99.2	98.0	Met
Distribution Centre 2	98.7	98.0	Met
Distribution Centre 3	97.6	98.0	Below target
Distribution Centre 4	99.0	98.0	Met
Corporate Office (HQ)	99.8	98.0	Met
Corporate Office (Regional)	99.5	98.0	Met

Distribution Centre 3 fell below target due to an unplanned HVAC system failure on 12 May 2026, resulting in a partial facility shutdown of six hours while emergency repairs were carried out. A root-cause analysis identified a failed compressor unit, which has since been replaced under warranty.

3. Energy Consumption

Total electricity consumption across all sites was 1,842 MWh in Q2 2026, down from 1,968 MWh in Q1 2026, a reduction of 6.4%. The LED retrofit at Distribution Centre 2, completed in March 2026, is estimated to account for approximately two-

thirds of this reduction, with the remainder attributed to seasonal variation in heating demand.

4. Maintenance Incidents

4.1 **HVAC Failure, Distribution Centre 3 (12 May 2026):** As described in Section 2, a compressor failure caused a six-hour partial shutdown. No injuries were reported. The incident was logged and investigated in accordance with the Workplace Health and Safety Manual (EN-MAN-01), Section 6.

4.2 **Loading Dock Door Malfunction, Distribution Centre 1 (28 May 2026):** A mechanical fault in loading dock door 4 caused it to become stuck in the open position overnight. No security breach or product loss occurred. The door was repaired within twelve hours and an additional inspection of all dock doors across the site was completed as a precautionary measure.

5. Planned Maintenance for Q3 2026

- Roof inspection and preventative maintenance, Distribution Centre 4 (July 2026)
- Fire suppression system annual certification, all sites (August 2026)
- HVAC preventative maintenance programme extended to Distribution Centres 1, 3, and 4 following the Q2 incident (ongoing)

6. Budget Summary

Facilities operating expenditure for Q2 2026 totalled within 3% of the approved quarterly budget, with the variance attributable to the emergency HVAC repair at Distribution Centre 3.

7. Recommendations

7.1 Accelerate the HVAC preventative maintenance programme to all sites ahead of the original Q4 2026 schedule, given the incident at Distribution Centre 3.

7.2 Extend the LED retrofit programme to Distribution Centres 1, 3, and 4 in light of the energy savings observed at Distribution Centre 2.

8. Approval

Submitted to the Executive Committee by the Head of Facilities Management on 10 July 2026.